

Anti-Bribery and Anti-Corruption Policy

Document ID: POL-ABC-002

Version: 2.8

Effective Date: March 1, 2025

Last Reviewed: February 20, 2025

Approved By: Chief Compliance Officer, Board of Directors

Classification: Internal - Mandatory Compliance

1. Purpose and Scope

1.1 Purpose

This policy establishes a zero-tolerance approach to bribery and corruption in all forms. Meridian Holdings Group ("the Company") is committed to conducting business ethically and in compliance with all applicable anti-bribery and anti-corruption laws, including the U.S. Foreign Corrupt Practices Act (FCPA), the UK Bribery Act 2010, and local anti-corruption laws in all jurisdictions where the Company operates.

1.2 Scope

This policy applies to all individuals working at all levels and grades of the Company, including:

- Senior managers, officers, and directors
- All employees (whether permanent, fixed-term, or temporary)
- Consultants, contractors, and agency workers
- Joint venture partners
- Agents, intermediaries, and representatives acting on behalf of the Company
- Any third party performing services for or on behalf of the Company

1.3 Definitions

- **Bribery:** Offering, promising, giving, accepting, or soliciting an advantage as an inducement for an action which is illegal, unethical, or a breach of trust.
 - **Corruption:** The abuse of entrusted power for private gain, including but not limited to embezzlement, extortion, fraud, and collusion.
 - **Facilitation Payment:** A small, unofficial payment made to secure or expedite the performance of a routine or necessary action by a government official.
 - **Government Official:** Any officer or employee of a government or any department, agency, or instrumentality thereof, including state-owned enterprises, public international organizations, and political parties or candidates for political office.
 - **Kickback:** A payment made to someone who has facilitated a transaction or appointment, typically calculated as a percentage of the sum paid.
-

2. Prohibited Conduct

2.1 General Prohibition

The following conduct is strictly prohibited:

- a) Offering, promising, giving, or authorizing the giving of any financial or other advantage to any person (whether a government official or private individual) with the intention of inducing them to perform a function improperly, rewarding them for improper performance, or securing any improper business advantage.
- b) Requesting, agreeing to receive, or accepting any financial or other advantage as an inducement or reward for improper performance of any function or activity.
- c) Making or authorizing any facilitation payment, regardless of local custom or practice. There are no exceptions to this prohibition.
- d) Making any contribution, donation, or expenditure to a political party, political campaign, or political candidate without prior written approval from the Chief Compliance Officer and General Counsel.
- e) Engaging in any form of money laundering or knowingly assisting others in money laundering activities.

2.2 Third-Party Conduct

The Company may be held liable for acts of bribery or corruption committed by third parties acting on its behalf. All personnel must ensure that third parties acting for or on behalf of the Company comply with this policy. This includes agents, intermediaries, consultants, distributors, and joint venture partners.

3. Gifts, Hospitality, and Entertainment

3.1 General Principles

Business gifts, hospitality, and entertainment can be a legitimate part of building business relationships. However, they must never be used as a means to improperly influence business decisions or create an obligation.

3.2 Permissible Gifts

Gifts may be given or received only if all of the following conditions are met:

- a) The gift is of nominal value not exceeding \$250 USD (or local currency equivalent) per item and \$500 USD per recipient per calendar year cumulatively
- b) The gift is not in the form of cash or cash equivalents (gift cards, vouchers, cryptocurrency, etc.)
- c) The gift is appropriate to the business relationship and cultural context
- d) The gift is not given or received during or immediately before a business decision, tender process, or contract

negotiation

e) The gift is properly recorded in the Company's Gift and Hospitality Register

3.3 Permissible Hospitality and Entertainment

Hospitality and entertainment may be offered or accepted only if:

- a) The cost is reasonable and proportionate, not exceeding \$150 USD per person per event
- b) The hospitality serves a legitimate business purpose
- c) The host is present at the event
- d) The hospitality is not lavish or extravagant by reasonable standards
- e) The hospitality does not include travel or accommodation expenses for the recipient (unless pre-approved by the Chief Compliance Officer)
- f) The event is properly recorded in the Gift and Hospitality Register

3.4 Prohibited Gifts and Hospitality

The following are strictly prohibited regardless of value:

- a) Cash or cash equivalent gifts
- b) Gifts or hospitality to or from government officials without prior written approval from the Chief Compliance Officer
- c) Gifts or hospitality during active procurement, tender, or negotiation processes
- d) Gifts or hospitality that the giver or recipient would be uncomfortable disclosing publicly
- e) Gifts or hospitality that violate the recipient's own organization's policies
- f) Travel, accommodation, or holiday expenses for third parties
- g) Tickets to events where no business purpose exists

3.5 Gift and Hospitality Register

All gifts given or received with a value exceeding \$50 USD must be recorded in the Company's Gift and Hospitality Register within 5 business days. The register entry must include:

- Date of the gift/hospitality
- Description and estimated value
- Name and organization of the giver/recipient
- Business justification
- Whether approval was obtained (if required)

The Gift and Hospitality Register is maintained by the Compliance Department and is subject to quarterly review by the Chief Compliance Officer.

4. Dealing with Government Officials

4.1 Enhanced Requirements

All interactions with government officials require heightened diligence. The following additional requirements apply:

- a) No gifts, hospitality, or entertainment may be provided to government officials without prior written approval from the Chief Compliance Officer. This applies regardless of value.
- b) All meetings with government officials must be documented, including the date, participants, purpose, and outcomes.
- c) Engagement of any agent, intermediary, or consultant to interact with government officials on behalf of the Company requires approval from the Chief Compliance Officer and General Counsel.
- d) All payments to government officials or government entities must be made through official channels, properly documented, and supported by a legitimate business purpose.

4.2 Government Contracts

When bidding for or performing government contracts:

- a) All representations made to government entities must be accurate and complete
- b) No improper payments or advantages may be offered to influence contract award decisions
- c) All subcontractors and suppliers involved in government contracts must be vetted for compliance with this policy
- d) Cost and pricing data submitted to government entities must be current, accurate, and complete

5. Third-Party Due Diligence

5.1 Risk Assessment

Before engaging any third party who will interact with government officials, make payments on behalf of the Company, or operate in high-risk jurisdictions, a bribery and corruption risk assessment must be conducted. The risk assessment must consider:

- a) Country risk - using recognized corruption indices (Transparency International CPI, World Bank Governance Indicators)
- b) Industry risk - prevalence of corruption in the relevant industry sector
- c) Transaction risk - nature, value, and complexity of the proposed engagement
- d) Business partner risk - ownership structure, reputation, and history of the third party
- e) Business rationale - whether there is a legitimate business reason for the engagement

5.2 Due Diligence Procedures

Based on the risk assessment, the following levels of due diligence must be conducted:

Standard Due Diligence (Low Risk):

- Identity verification and corporate registration check
- Sanctions and watch list screening
- Media screening for adverse information
- Self-certification of compliance with anti-bribery laws

Enhanced Due Diligence (Medium to High Risk):

- All standard due diligence measures, plus:
- Detailed background investigation including beneficial ownership
- Financial health assessment
- Reference checks from other clients
- Site visit where practicable
- Review of the third party's own anti-bribery policies and procedures
- Interview with senior management of the third party

Critical Due Diligence (Very High Risk):

- All enhanced due diligence measures, plus:
- Engagement of external specialist investigation firm
- Review by General Counsel
- Approval by the Board Compliance Committee

5.3 Contractual Protections

All contracts with third parties must include:

- a) Representations and warranties that the third party has not and will not engage in bribery or corruption
- b) The right of the Company to audit the third party's compliance
- c) Obligation to maintain accurate books and records
- d) Immediate notification obligations in the event of any suspected or actual bribery or corruption
- e) Right of the Company to terminate the contract immediately for any breach of anti-bribery obligations
- f) Indemnification for any losses arising from the third party's breach of anti-bribery obligations

6. Books, Records, and Financial Controls

6.1 Accurate Record-Keeping

All transactions must be accurately and completely recorded in the Company's books and records. No off-books accounts, undisclosed funds, or false entries may be created or maintained for any purpose. Specific requirements include:

- a) All payments must be supported by legitimate invoices and documentation
- b) All expenses must be properly categorized and coded
- c) Cash payments exceeding \$500 USD are prohibited without prior approval from the Finance Director
- d) All commissions, rebates, and discounts must be properly documented and commercially justified
- e) Petty cash funds must not exceed \$1,000 USD and must be reconciled monthly

6.2 Internal Controls

The Finance Department must maintain internal controls sufficient to provide reasonable assurance that:

- a) Transactions are executed only with proper authorization
- b) Transactions are recorded as necessary to permit preparation of accurate financial statements
- c) Access to Company assets is permitted only with management authorization
- d) Recorded assets are compared with existing assets at reasonable intervals
- e) Appropriate action is taken regarding any discrepancies

7. Charitable Donations and Sponsorships

7.1 Charitable Donations

Charitable donations are permitted only when:

- a) The recipient is a bona fide charitable organization registered in accordance with applicable law
- b) The donation does not exceed \$10,000 USD without approval from the Chief Compliance Officer
- c) The donation is not made at the request or suggestion of a government official
- d) The donation is not intended to influence any business decision
- e) Due diligence is conducted on the recipient organization
- f) The donation is properly documented and reported

7.2 Sponsorships

Corporate sponsorships must:

- a) Serve a legitimate business purpose
- b) Be approved by the Marketing Director and Chief Compliance Officer
- c) Be conducted at arm's length with fair market value terms

- d) Not be used as a conduit for improper payments
 - e) Be documented with a written sponsorship agreement
-

8. Whistleblowing and Reporting

8.1 Reporting Obligations

All personnel have an obligation to report any known or suspected violations of this policy. Reports may be made through:

- a) Direct report to line manager or department head
- b) Report to the Chief Compliance Officer
- c) Report to the General Counsel
- d) The Company's confidential whistleblowing hotline: [hotline number]
- e) The Company's anonymous online reporting portal: [portal URL]

8.2 Non-Retaliation

The Company prohibits retaliation against any person who reports in good faith a suspected violation of this policy. Retaliation includes termination, demotion, suspension, harassment, or any other adverse employment action. Any person who retaliates against a whistleblower will be subject to disciplinary action up to and including termination.

8.3 Investigation

All reports of suspected violations will be promptly investigated by the Compliance Department. Investigations will be conducted confidentially to the extent possible. Personnel are required to cooperate fully with any investigation.

9. Training and Awareness

9.1 Mandatory Training

All personnel must complete anti-bribery and anti-corruption training:

- Initial training: Within 30 days of joining the Company
- Annual refresher training: Within the first quarter of each calendar year
- Role-specific training: For personnel in high-risk roles (procurement, sales, government relations) - within 60 days of assuming the role

9.2 Training Content

Training must cover:

- a) The key provisions of this policy
 - b) Relevant anti-bribery and anti-corruption laws
 - c) Red flags for bribery and corruption
 - d) Reporting obligations and procedures
 - e) Consequences of non-compliance
 - f) Case studies relevant to the participant's role and jurisdiction
-

10. Compliance Monitoring and Enforcement

10.1 Monitoring

The Compliance Department will monitor compliance with this policy through:

- a) Regular audits of high-risk areas and transactions
- b) Review of the Gift and Hospitality Register
- c) Analysis of expense reports and financial transactions
- d) Monitoring of third-party relationships
- e) Review of whistleblowing reports and investigation outcomes

10.2 Penalties for Non-Compliance

Violations of this policy may result in:

- a) Disciplinary action up to and including termination of employment or contract
- b) Civil and criminal liability for individuals involved
- c) Reporting to law enforcement authorities
- d) Recovery of any losses suffered by the Company
- e) Termination of business relationships with non-compliant third parties

10.3 Policy Review

This policy is reviewed annually by the Chief Compliance Officer and approved by the Board of Directors. Interim reviews may be triggered by changes in applicable law, regulatory guidance, enforcement actions, or significant changes in the Company's business operations.

Appendix A: High-Risk Country List - See separate document POL-ABC-002-A

Appendix B: Gift and Hospitality Register Template - See separate document POL-ABC-002-B

Appendix C: Third-Party Due Diligence Questionnaire - See separate document POL-ABC-002-C

Appendix D: Red Flags Checklist - See separate document POL-ABC-002-D